

## The 7 most common reasons South Carolina Medicaid denies a Miller Trust

A plain-English checklist of the paperwork errors that cost South Carolina families a month of benefits — each with the SCDHHS citation behind it, so you can verify before you file, not after the denial letter arrives.

**Read this first — the funding-month rule.** A Miller Trust (Qualified Income Trust) only works for a given month if it is **both signed and funded in that same calendar month**. SCDHHS does not back-date eligibility. Sign on the 28th but fund on the 2nd of the next month, and the first month is billed at the South Carolina private-pay rate — roughly **\$9,034–\$9,612**. Most families lose a month to this timing gap, not to ineligibility.

### The 7 denial traps to check before you file

Every trap below is drawn from SCDHHS policy. Verify each against the citation shown before you submit the Medicaid application.

1

#### An asset (not income) is placed in the trust

The single most explicit invalidator in South Carolina. Schedule A states in bold that the trust is to be funded SOLELY with income, and that placing any asset — stocks, bonds, certificates of deposit, real or personal property — into the trust renders it invalid for the Income Trust exception. The trust document repeats that no property other than income shall be used to fund it.

Source: SC DHHS Form 3270 ME (Schedule A); DHHS Form 905, Trust Estate

2

#### Income does not flow through the trust in the month coverage is sought

Eligibility cannot be established before the month the trust is signed, and the applicant must provide verification that the income for any month coverage is desired was actually deposited into the trust account — SCDHHS requires this before the application can be approved. A month in which the income did not flow through the trust is not covered.

Source: SC DHHS Form 905 (Memorandum of Understanding); DHHS Form 906 (Trustee Checklist)

3

#### Schedule A is missing or incomplete

A completed Schedule A — listing the income assigned to the trust and the designated bank and account number, signed by the trustee — is a stated requirement for the trust's validity. A trust submitted without it is not acceptable.

Source: SC DHHS Form 905, Trust Estate; DHHS Form 3270 ME (Schedule A)

---

4

#### **The account is used like a personal checking account**

The trust account's funds may be used only for expenses authorized by Medicaid. The trustee may write a check for the personal needs allowance to the beneficiary, or a spousal allocation check to the community spouse, but may NOT write checks to third parties on their behalf (for example, the electric company or a doctor's office). Misusing the account this way violates the trust.

Source: SC DHHS Form 906 (Trustee Checklist)

---

5

#### **Trust is not irrevocable or is improperly executed**

The trust must be irrevocable (it may be modified or terminated during the beneficiary's life only by agreement of the beneficiary, the trustee, and SCDHHS, or by the probate court). Execution must be complete: the document and the Statement of Trustee must be signed, the settlor's and the trustee's signatures each require two witnesses, and the Statement of Trustee must be notarized. Missing signatures, witnesses, or notarization make the trust unacceptable.

Source: SC DHHS Form 905 (execution + paragraph 8.02); DHHS Form 907 (Checklist)

---

6

#### **Applicant named as their own trustee**

DHHS Form 905 and the SCDHHS information sheet both state the applicant/beneficiary cannot serve as their own trustee. A separate trustee must be appointed.

Source: SC DHHS Form 905; DHHS Form 906

---

7

#### **Missing SCDHHS secondary-beneficiary (payback) clause**

The trust must name the single state Medicaid agency (SCDHHS) as the 'Secondary Beneficiary' with an interest in the trust up to the total medical assistance paid for the beneficiary, with only the excess passing to the estate. DHHS Form 905 already contains this clause; removing or altering it makes the trust unacceptable.

Source: SC DHHS Form 905, Trust Beneficiaries and paragraph 5.05

---

## How families get every step right the first time

This checklist tells you *what* can go wrong. The full South Carolina Miller Trust Setup Kit walks through avoiding each one in order — the word-for-word bank script for when the branch refuses to open the account, the pre-filled funding worksheet using the CMS January 2026 figures income cap of \$2,982, and the day-before-you-file checklist. It's backed by a money-back guarantee: if SCDHHS rejects the trust for a reason traceable to following the kit, you get a full refund.

[See the South Carolina kit →](#)

## Verify the sources yourself

- Official SCDHHS template — [SCDHHS Healthy Connections Nursing Home / HCBS eligibility \(Medicaid Cap = 300% of the SSI Federal Benefit Rate\)](#) and [DHHS Form 905, the Income Trust Agreement \(January 2026\)](#)
- SCDHHS policy manual — [South Carolina Department of Health and Human Services](#)

— James Whitfield, Miller Trust Guide · [millertrustguide.com](https://millertrustguide.com)

Informational only. This checklist is not legal advice and is not a substitute for consultation with a licensed attorney. We are not a law firm and we do not practice law. We do not draft legal documents. State Medicaid rules vary and change; verify all information with SCDHHS and an attorney licensed in South Carolina before acting.